

Adoption Ratio

High Adoption Ratio

The product is needed by a majority of the population. It is a mass-market item.

Low Adoption Ratio

The product is not needed by the general population, at least at that moment. While this is certainly a challenge, it can also be viewed as an opportunity.

If more people adopt (the product) going forward, it will lead to potential growth in the industry size.

However, if people do not adapt, it reduces the market size and thus the size of the opportunity.

Penetration Ratio

High Penetration Ratio

The industry limits growth through penetration.

Low Penetration Ratio

Despite a section of the population being potential customers, the industry may not be able to service them due to barriers such as distribution challenges.

However, a low penetration ratio is an opportunity as the industry can potentially grow—by working on the challenges.